

The background of the slide features a deep blue sky with wispy clouds. In the lower-left quadrant, there are dynamic, swirling light trails in shades of orange and yellow, resembling long-exposure photography of light or perhaps stylized representations of data or energy. The overall composition is modern and professional.

COST OF CAPITAL INDIA

April 2026

Preface

Welcome to the 2026 edition of the Cost of Capital India study.

This edition is a meaningful departure from the 2025 study, not in scope, but in methodology. Where the previous edition relied on synthetic ratings, third-party betas, and a single flat Country Risk Premium applied uniformly across all companies, this study builds each component from the ground up.

The risk-free rate is estimated using two approaches: a CDS-adjusted spot rate and a Fisher decomposition using long-term inflation expectations. Implied equity risk premium calculation for both India and the US, Beta estimated through a 5-year monthly regression against the Nifty 50, unlevered and relevered using the Hamada equation with company-specific D/E ratios and separate cost of equity estimation for Banks and Financial Services Industry’s using regression betas.

Critically, the Country Risk Premium is no longer flat, it is weighted by each company’s actual geographic revenue mix. The result is a study that reflects how capital is actually deployed, not how it is assumed to be. A Pharma major generating ~64%+ of revenues internationally should not carry the same country risk as a domestic bank. This edition corrects that.

The 2026 study covers 130 companies across 13 sectors, representing approximately 55% of India’s total listed market capitalisation as of April 2026. The average WACC stands at 12.5%, up from 9.4% in 2025. A shift driven primarily by the methodological refinements rather than a deterioration in fundamentals.

Each section of this study is written to be self-contained and readable on its own. The goal carried throughout the study is clarity, to show not just what the numbers are, but why they are what they are.

This study is an independent research exercise aimed at estimating the cost of capital for India and major listed Indian industries and companies. It is not intended to serve as a basis for investment decisions, impairment testing, or any accounting or tax-related determinations.

All estimates presented here are derived from publicly available data and reflect conditions as of April 2026. The data, assumptions, and methodologies employed are described within the study and are subject to the inherent limitations of empirical modelling. No representation is made as to their completeness or future accuracy.

The findings reflect the author’s independent analysis and do not constitute financial advice or professional recommendations. Readers should exercise their own judgment and, where appropriate, seek professional advice before acting on any information contained herein.

The author shall not be held responsible or liable for any loss arising directly or indirectly from the use of this study.

hope you find it useful. For any feedback, queries, or suggestions, reach out at jayprak4sh@gmail.com.

Previous Edition of The Study



[Download the Study](#)

2025

- 18 sectors, 187 Companies
- Synthetic ratings approach for cost of debt
- Single flat India CRP applied uniformly
- Beta sourced from third-party provider
- Average WACC: 10.4%

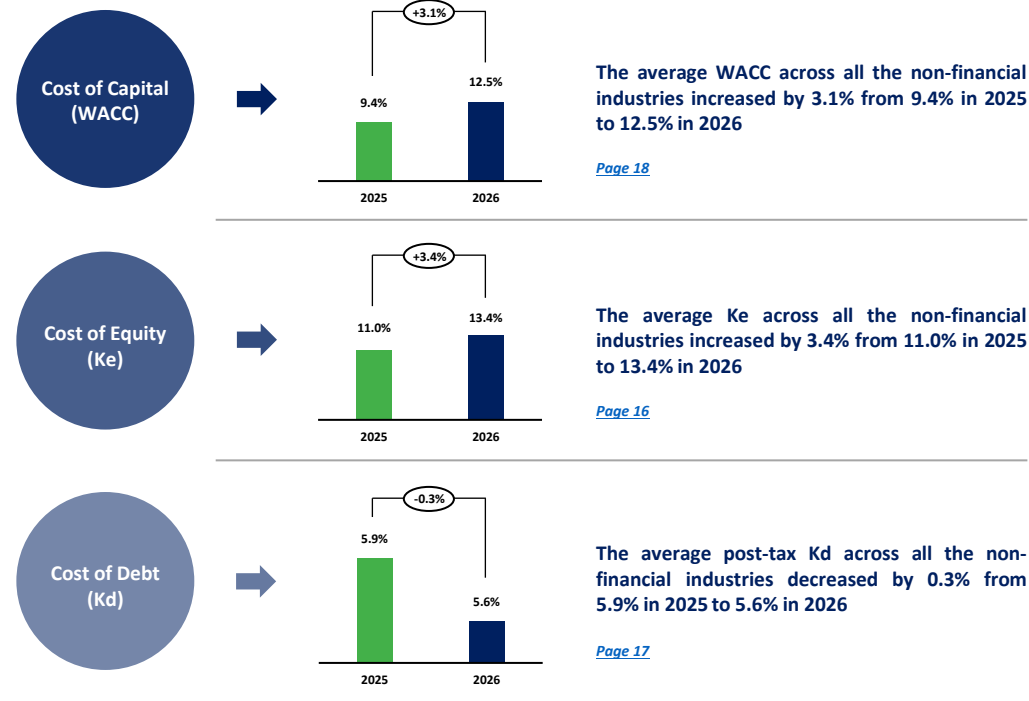


2026

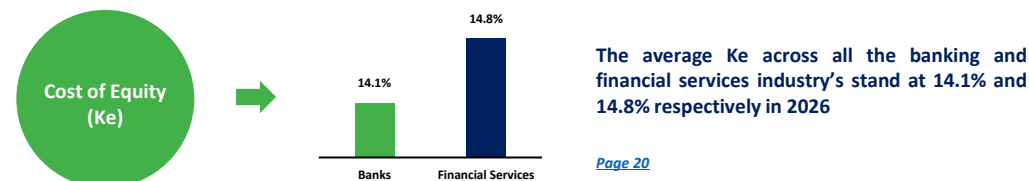
- 13 sectors, 130 companies, 55% of India's listed market cap
- Dual RFR estimation: spot and normalized
- Implied ERP modelled for both Nifty 50 and S&P 500
- Revenue-weighted company-specific CRP across 180+ countries
- 5-year OLS regression beta against Nifty 50 and Bottom-up Hamada unlever/relever methodology
- Ratings based spread approach for cost of debt
- Average WACC: 12.5%

Summary of Findings

Non-Financial Industries



Banking & Financial Industries



WACC Components



INTRODUCTION

Overview of Industries 06

Growth Expectations 07

Overview of Industries

Data as of April 2026

This study covers 130 companies across 13 sectors with an aggregate market capitalisation of ₹2,52,11,423 crores, representing approximately 55% of India's total listed market capitalisation of ₹4,55,80,842 crores as of April 2026.

Banking is the largest sector at ₹47,12,359 crores, but the top three banks alone HDFC Bank, SBI and ICICI Bank account for 69.4% of the entire sector with market capitalization's of ₹12,49,481, ₹10,26,815, and ₹9,95,042 respectively. The remaining seven banks collectively smaller than HDFC Bank alone.

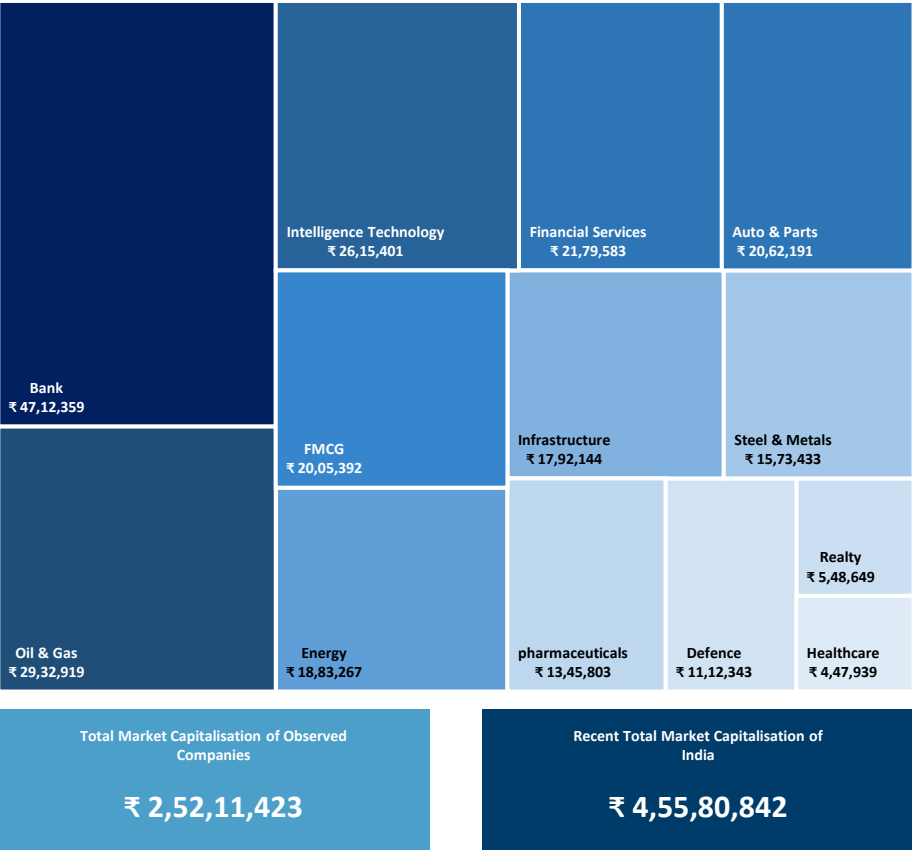
Oil & Gas is the second largest as Reliance Industries at ₹18,32,772 crores constitutes 62.5% of the sector's ₹29,32,919 crores, strip it out and Oil & Gas falls to the bottom half of the table.

IT follows a similar pattern with TCS, Infosys and HCL together represent 71% of the sector with ₹9,44,923, ₹5,32,807, and ₹3,91,174 respectively, leaving the remaining seven companies as relative tail weights.

Financial Services is more evenly distributed as Bajaj Finance leads at ₹5,84,388 crores but accounts for only 26.8% of the sector, with nine other companies each contributing meaningfully.

At the other end, Healthcare with ₹4,47,939 crores and Realty ₹5,48,649 crores remain the smallest segments, Defence is introduced as a standalone sector in this study.

Figure 01:
Market Capitalisation Sum of Companies Observed Grouped by Industries



Source: Screener.in

Growth Expectations

Data as of April 2026

The weighted average of consensus estimates using the market capitalisation as weights, point to a portfolio-level revenue growth of 10.5% and EBITDA margin of 17.2% for FY2027, with significant dispersion across sectors reflecting fundamentally different growth profiles and business models.

Healthcare stands out as the highest-growth sector at 29.8%, driven by hospital capacity expansion and rising penetration across tier-2 and tier-3 markets but carries thin margin of 21.9%, reflecting the capital-intensive nature of infrastructure buildout where growth is currently being prioritised over profitability.

Energy and Realty grow at comparable rates of 22.1% and 22.5% but with materially superior margins of 32.9% and 32.0% respectively. The two highest in the study suggesting these sectors are scaling revenues without proportionally increasing costs.

FMCG and IT are the slowest growers at 9.1% each, consistent with their mature, well-penetrated market positioning. Both compensate with stable margins of 23.7% and 24.1% respectively, reflecting pricing power and asset-light operating models.

Defence presents one of the more compelling combinations in the universe with 19.2% revenue growth alongside 25.7% margins, underpinned by sustained indigenisation tailwinds and long-duration government contracts providing earnings visibility.

Figure 02:
Weighted Average Forecasted Revenue Growth by Sector
(Consensus Estimates)

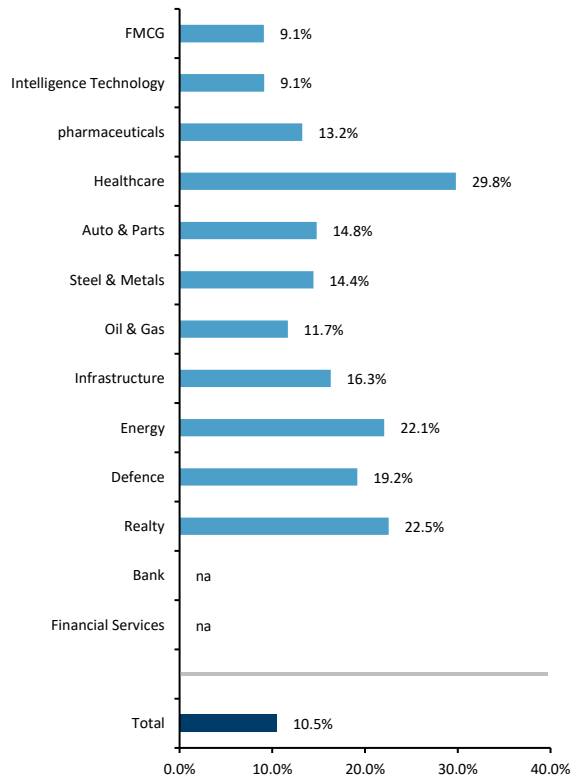
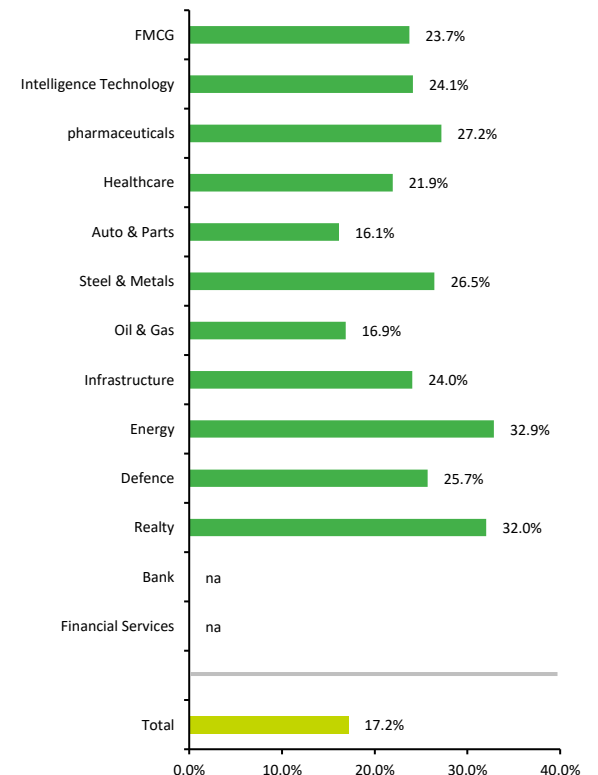


Figure 03:
Weighted Average Forecasted EBITDA Margins by Sector
(Consensus Estimates)



Source: trendlyne, consensus estimate

COST OF CAPITAL PARAMETERS

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Risk-Free Rate

Data as of April 2026

We estimate the risk-free rate for Indian rupee using two approaches,

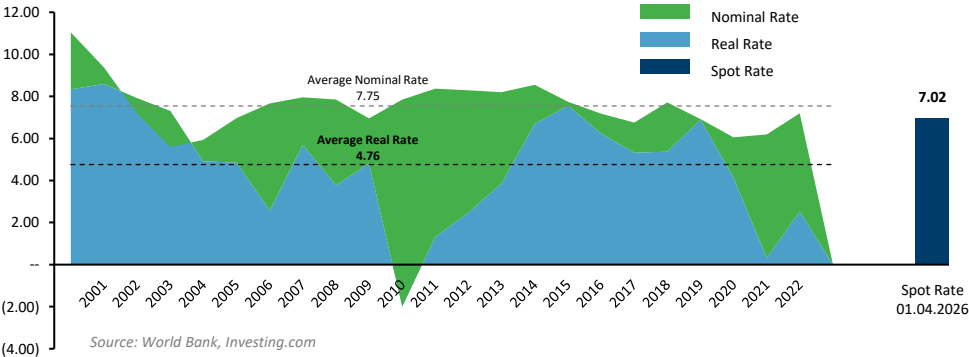
In the first approach, risk-free rate is estimated using the Indian 10-year government bond yield as of 1 April 2026. As India is not a AAA rated country and carries sovereign credit risk, this yield includes an adjustment for the risk of default by implementing a default spread to derive a true risk-free rate, we incorporate “Credit Default Swaps” (CDS) as a proxy for sovereign credit risk.

India’s CDS is benchmarked against Switzerland’s CDS as a proxy for a risk-free country, implying a default spread of 0.85%, sourced from Prof. Damodaran’s updates CDS dataset. Adjusting for this yields a market-implied risk-free rate of 6.17%.

As a secondary reference, the risk-free rate is estimated as the sum of the historical average of real interest rate and long-term expected inflation (Fisher decomposition). This approach yields a higher estimate of 8.76%.

While both methods are theoretically sound, the first approach is preferred for this analysis. The second approach, is more relevant in periods of market dislocation when policy-driven rate distortions can materially affect government bond yields.

Figure 04:
Historical Real Rate vs Nominal Rate & Spot Rate
(In Percentage)



India's
Credit Default Swap Spread
1.02%

Switzerland's
Credit Default Swap Spread
0.17%

Reserve Bank of India Long-Term Expected
Inflation for India
4.00%

Default
Adjusted
Risk Free Rate

1

Risk Free Rate

6.17%

=

Spot Rate
01 April 2026

7.02%

-

Default Spread
India's CDS Adjusted for
Switzerland's CDS

0.85%

Normalised
Risk Free Rate

2

Risk Free Rate

8.76%

=

Average Real Rate
2000 - 2022

4.76%

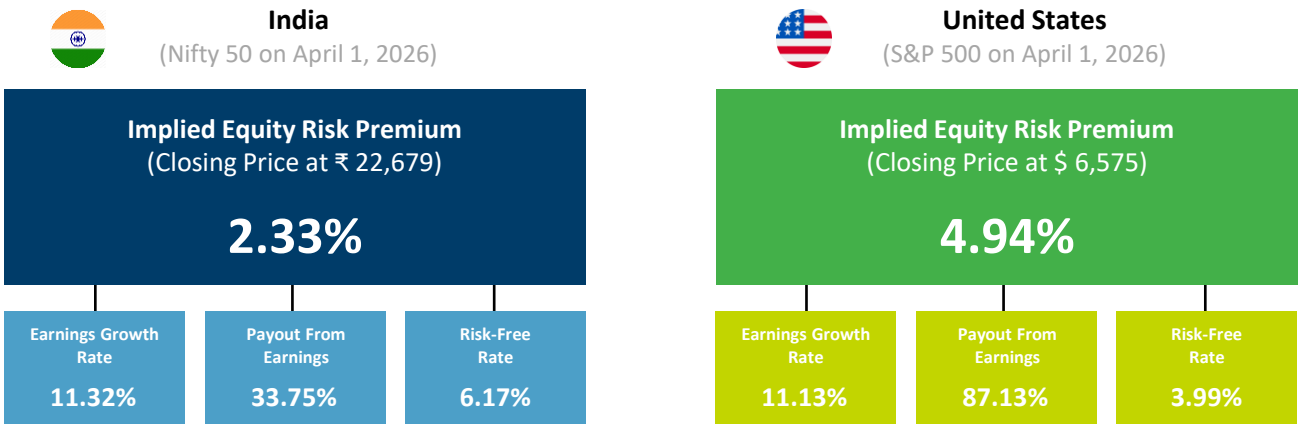
+

Expected Inflation
RBI Long-Term Expected
Inflation Rate

4.00%

Equity Risk Premium

Data as of April 2026



We estimated India's Implied ERP by running a reverse DCF (DDM-based), back-solving the discount rate that equates projected equity cash flows to the Nifty 50's closing price on April 1, 2026, with cash flows estimated as the last decades average payout ratio applied to trailing index earnings, a proxy for potential dividends.

The same methodology was applied to the S&P 500 for comparison, the results shows despite India being a structurally riskier market, its implied ERP of 2.33% is significantly below the US implied ERP of 4.94%. This does not imply India is safer but indicates the market is pricing in sustained high earnings growth. The low payout ratio of 33.75% vs. 87.13% for S&P 500 reflects Indian company's preference for reinvestment over distribution. As a result, the Nifty's cash flows are structurally suppressed, as Investors are currently accepting below-normal risk compensation.

While the implied ERP is useful for assessing current market sentiment, it is not appropriate as a direct input for valuations for companies in emerging markets such as India. The implied ERP would anchor cost of equity estimates to current market pricing, which reflects compressed risk compensation and stretched growth expectations. This creates a problem as valuations would implicitly assume the market is already fairly priced, defeating the purpose of the exercise.

For this reason, we adopt the build-up approach to estimate where Cost of Equity is estimated using the S&P 500 implied ERP, to which a Country Risk Premium (CRP), weighted by each company's share of revenues derived from respective geographies is added. This ensures risk compensation reflects additional return investors expect for bearing risks beyond those present in a mature market, including sovereign, political, and macroeconomic risk specific to each country of operation. Covered here [Country Risk Premium](#).

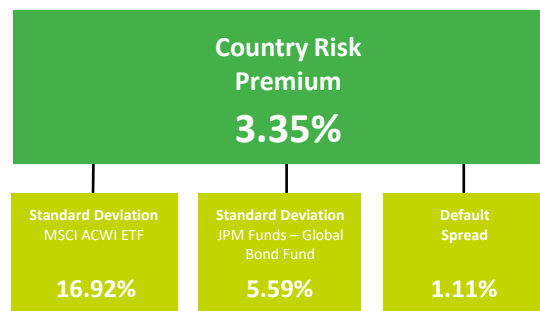
Country Risk Premium

Data as of April 2026

The Country Risk Premium (CRP) measures the additional return investors demand for bearing sovereign, political, and macroeconomic risks beyond those present in a mature market.



World
(January 2020 to April 2026)



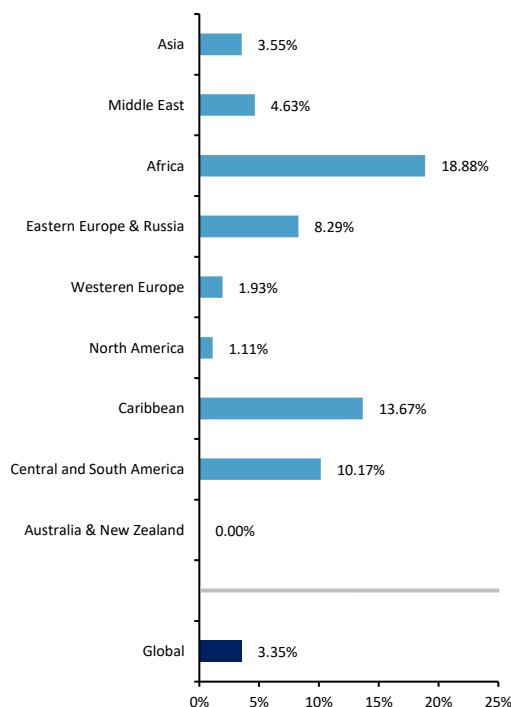
The Country Risk Premium is estimated relative volatility model, where:

$$\text{CRP} = \text{Default Spread} \times (\sigma \text{ MSCI ACWI} / \sigma \text{ JPM Bond Fund}).$$

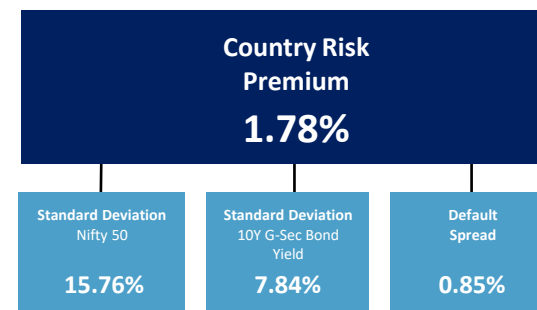
The volatilities were measured using return data from the iShares MSCI ACWI ETF and the JPMorgan Global Aggregate Bond Fund, yielding a relative volatility multiplier of 3.03x.

The global default spread of 1.11% feeding into this model was derived as a GDP-weighted average of sovereign default spreads across 180+ countries, using a three-tier hierarchy: CDS spreads, Rating-based default spreads for countries without CDS, and PRS score-based default spreads for unrated sovereigns, all sourced from Prof. Damodaran's datasheets.

Figure 05:
Country Risk Premium's by Regions
(In Percentage)



India
(January 2020 to April 2026)



India's Country Risk Premium is estimated using the same relative volatility model, but with closer equity and government proxies, as:

$$\text{India's CRP} = \text{Default Spread} \times (\sigma \text{ Nifty 50} / \sigma \text{ 10-Year G-sec}).$$

The volatilities were measured using the average standard deviation of the returns from the Nifty 50 representing the equities and the 10-Year Government Bond Yields, representing the bond volatility. Using country-specific proxies rather than global ETFs provide more accurate relative volatility for India, yielding a relative volatility multiplier of 2.01x. reflecting how much more volatile India's equity market is relative to its bond market.

Company-Specific Country Risk Premium

The estimation of company-specific Country Risk Premium is done by not keeping a flat CRP India rate, but it is weighted by its geographic revenue mix, reflecting the economic reality that a company generating revenues internationally bears a meaningfully different risk profile than a purely domestic business.

Effective CRP = (Revenue % India × India CRP) + (Revenue % Outside India × World CRP)

As shown, IT and Pharmaceuticals derive ~94% and ~63% of its revenues internationally respectively, pulling their effective CRP well above India's standalone 1.78%, closer to the world CRP of 3.55%. Conversely, Banks, Realty, and Financial Services operate almost entirely within India, carrying the full 1.78% with minimal dilution from international exposure.

When weighted average, the 130 companies in this study derive 21.6% of revenues from outside India, yielding a blended portfolio CRP of 2.1%. Modestly above India's standalone CRP, driven by the outsized international exposure of IT and Pharma heavyweights within the index.

Built-Up Equity Risk Premium for India

Mature Market ERP
US Implied ERP

4.94%

+

Country Risk Premium
For India Companies with 100% revenue in India

1.78%

Figure 06:

Country Risk Premium by Industries

(In Percentage)

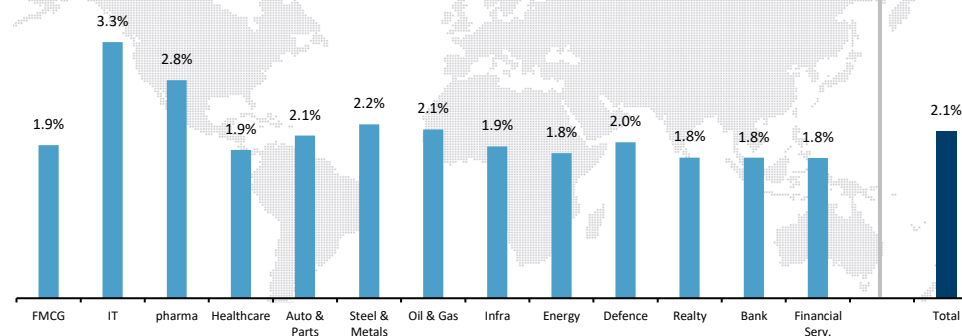
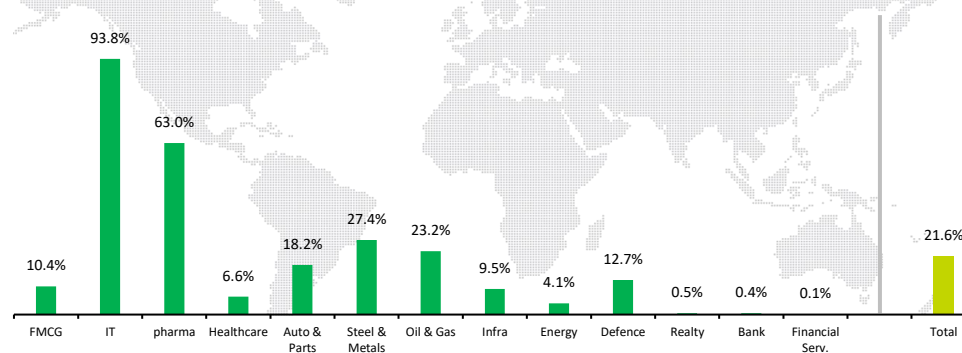


Figure 07:

Average Revenue Share Outside India

(In Percentage)



Source: Screener.in

Beta Factors

Data as of April 2026

Beta measures a company's sensitivity to market movements relative to the benchmark index, a beta above 1 indicates higher volatility than the market, below 1 indicates lower. However, a company's beta should reflect both its underlying business risk and its capital structure, but regression beta fail to reflect this. To isolate business risk and ensure comparability across companies with different leverage profiles, betas are unlevered and then relevered to each company's actual D/E ratio using the Hamada equation:

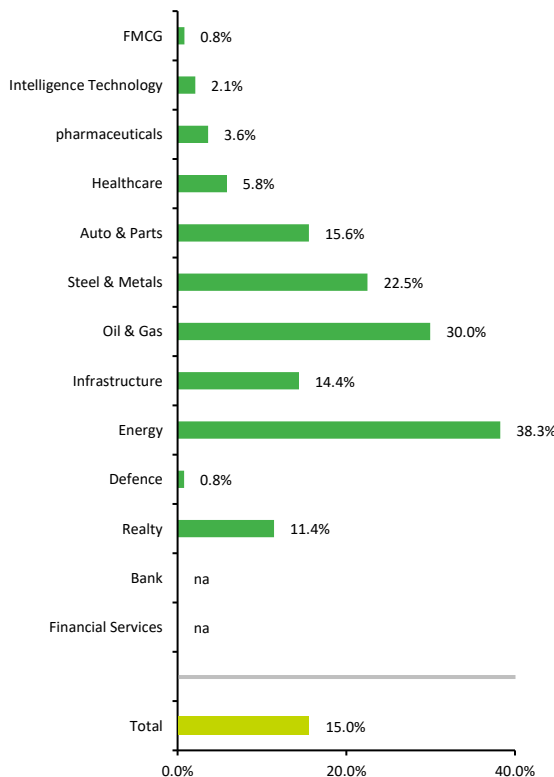
$$\text{Unlevered Beta} = \text{Levered Beta} / (1 + (1 - t) \times D/E)$$

$$\text{Relevered Beta} = \text{Median Unlevered Beta} \times (1 + (1 - t) \times D/E)$$

In this study, levered betas were estimated by running a regression of individual stock returns against Nifty 50 returns across 110 companies. Each company's levered beta was then unlevered using its company-specific D/E ratio and India's marginal corporate tax rate of 25.17%. To reduce noise from company-specific outliers, the industry median unlevered beta was taken as the representative business risk for each sector. This median was then relevered using each company's own D/E ratio and tax rate to arrive at a company-specific relevered beta for use in the CAPM.

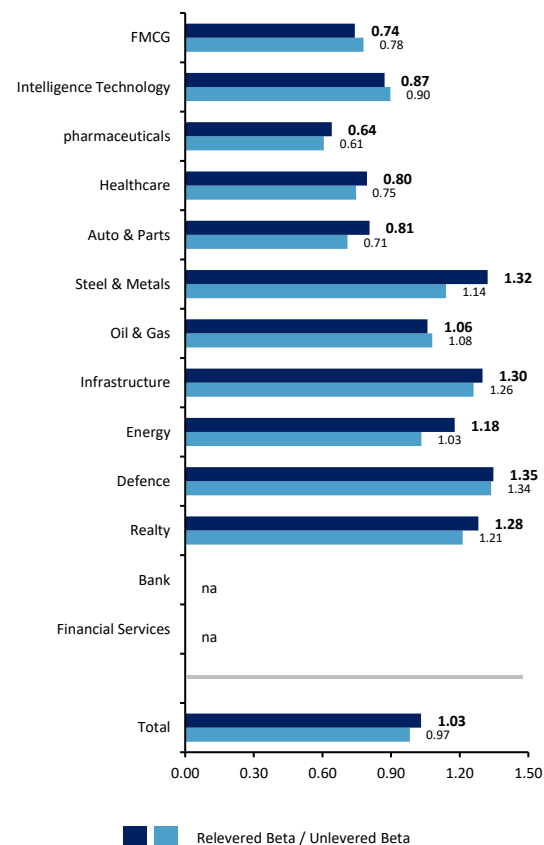
Banks and Financial Services are excluded from this framework as leverage is intrinsic to their business model rather than a financing choice.

Figure 08:
Debt-to-Equity Ratio
(In Percentage)



Source: Screener.in, yahoo finance

Figure 09:
Unlevered and Levered Beta



Corporate Bond Spread & Cost of Debt

Data as of April 2026

The pre-tax cost of debt is estimated as,

Kd (pre-tax) = 10 Year Bond Yield Government + Credit Spread

where each company's credit spread is assigned based on its credit rating using Damodaran's default spread schedule. Spreads range from 0.40% for AAA-rated issuers to 19.00% for defaulted entities, added to the 10-year G-Sec yield of 7.02% spot rate on April 1st, 2026, to arrive at the pre-tax cost of debt.

Across sectors, average spreads are tightly clustered between 0.4% and 0.6%, consistent with the predominantly investment-grade profile of 110 major companies in India.

Figure 10:
Corporate Debt Spread by Credit Rating
(In Percentage)

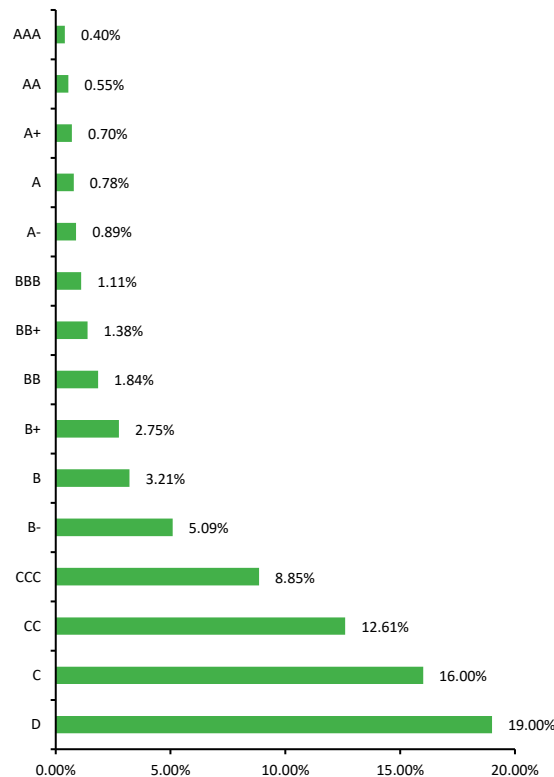
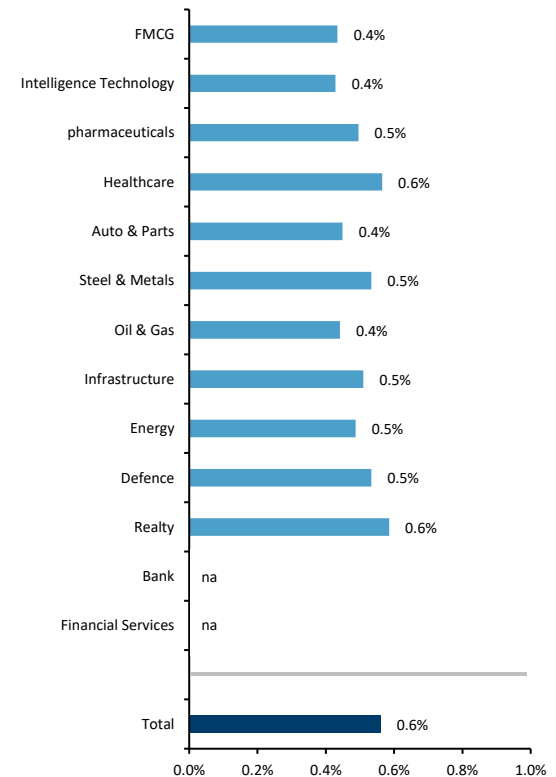


Figure 11:
Average Spread by Industry
(In Percentage)



Source: Damodaran, screener.in

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Cost of Equity

Data as of April 2026

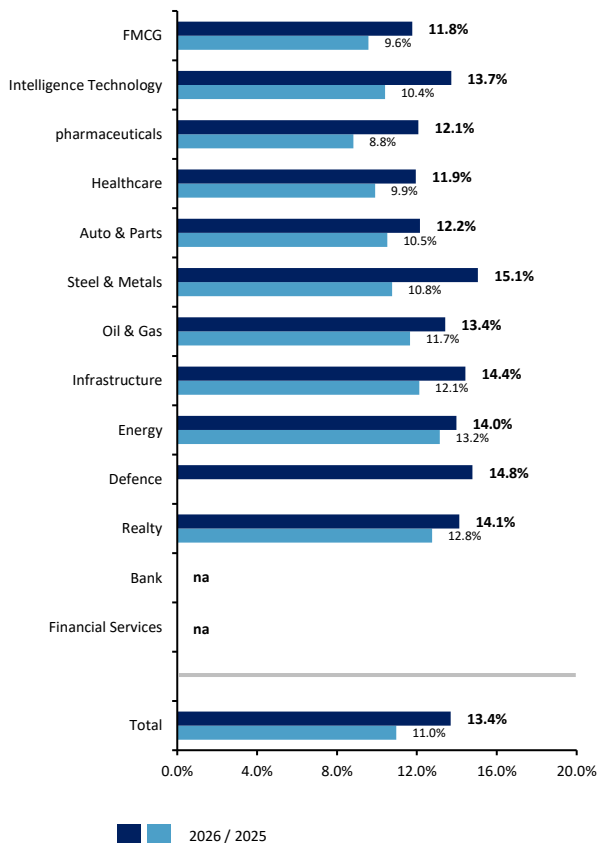
The average cost of equity across 110 major Indian companies stands at 13.4% in this study, with sector estimates ranging from 11.8% in FMCG to 15.1% in Steel & Metals. Unlike the 2025 edition which reported a simple average, the 2026 total is computed as a market capitalisation weighted average, providing a more representative picture of capital deployment.

Sectoral dispersion in Ke is driven by two compounding factors. First, capital-intensive sectors such as Steel & Metals, Infrastructure, and Energy carry elevated D/E ratios that amplify underlying business risk through the relevering adjustment.

Second, sectors with significant international revenue exposure bear a higher effective CRP weighted towards the world CRP of 3.55% rather than India's standalone 1.78%, IT and Pharmaceuticals see this most prominently, keeping their Ke elevated despite conservative leverage and beta profiles. Conversely, domestically anchored sectors carry the full India CRP but low leverage contains their levered Ke.

Banks and Financial Services are excluded entirely as leverage is intrinsic to their business model rather than a financing choice.

Figure 12:
Weighted Average Cost of Equity by Industry
(In Percentage)



Steel & Metals

The largest increase in Ke from 10.8% to 15.1% a +4.3% increase, driven by a compounding of high financial leverage with D/E at 22.5% amplifying an already elevated unlevered beta of 1.14, alongside 27.4% international revenues pushing the effective CRP to 2.2%, well above India's standalone 1.78%. The sector is uniquely exposed to both drivers simultaneously.



Information Technology

Despite the lowest D/E in the study at just 2.1%, IT sees an increase from 10.4% to 13.7% a change of +3.3%, almost entirely methodology-driven. With 93.8% of revenues outside India, its effective CRP of 3.3% is the highest across all sectors, nearly double India's standalone 1.78%. The 2025 study assigned IT the same flat India CRP as a domestic banks, this corrects that misrepresentation.

Post-Tax Cost of Debt

Data as of April 2026

The post-tax cost of debt is derived as,

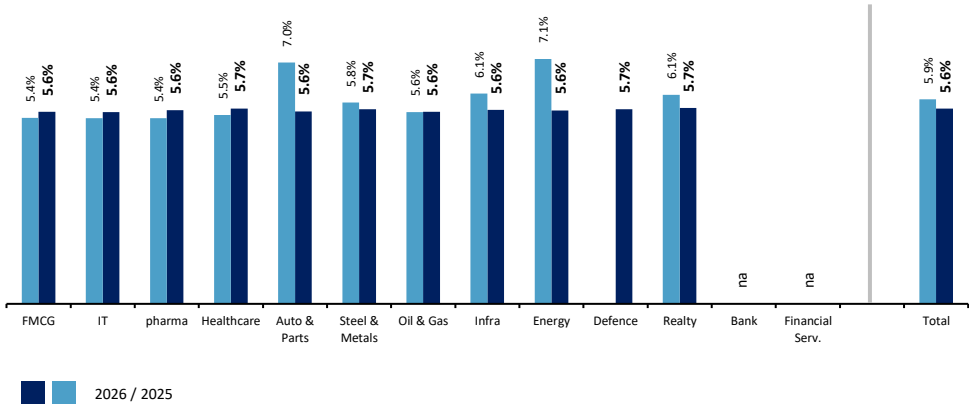
$$K_d(\text{pre-tax}) \times (1 - t)$$

Applying India's marginal corporate tax rate of 25.17%. Across sectors, the 2026 post-tax K_d is notably compressed, ranging narrowly from 5.6% to 5.7%, reflecting the high credit ratings and tight credit spread dispersion among predominantly investment-grade companies, where the G-sec yield of 7.02% dominates the pre-tax cost of debt and leaves limited room for spread-driven differentiation.

The pre-tax cost of debt uses the unadjusted G-Sec yield of 7.02% rather than the default-adjusted risk-free rate of 6.17% used in the cost of equity. Corporate borrowing embeds two layers of default risk, sovereign and company-specific as corporates cannot borrow below the sovereign rate, meaning the G-Sec yield inclusive of its default premium. The G-Sec yield, which already reflects India's sovereign default premium, is the appropriate base before adding the company's own credit spread on top.

Compared to 2025, the most significant declines are observed in Energy going from 7.1% to 5.6% and Realty 6.3% to 5.7%, driven by credit quality improvements and rating upgrades within these sectors reducing their assigned default spreads. The overall portfolio post-tax K_d tightened from 5.9% to 5.6%, consistent with the broader improvement in corporate credit profiles.

Figure 13:
Weighted Average Cost of Debt by Industry
(In Percentage)



Weighted Average Cost of Capital

Data as of April 2026

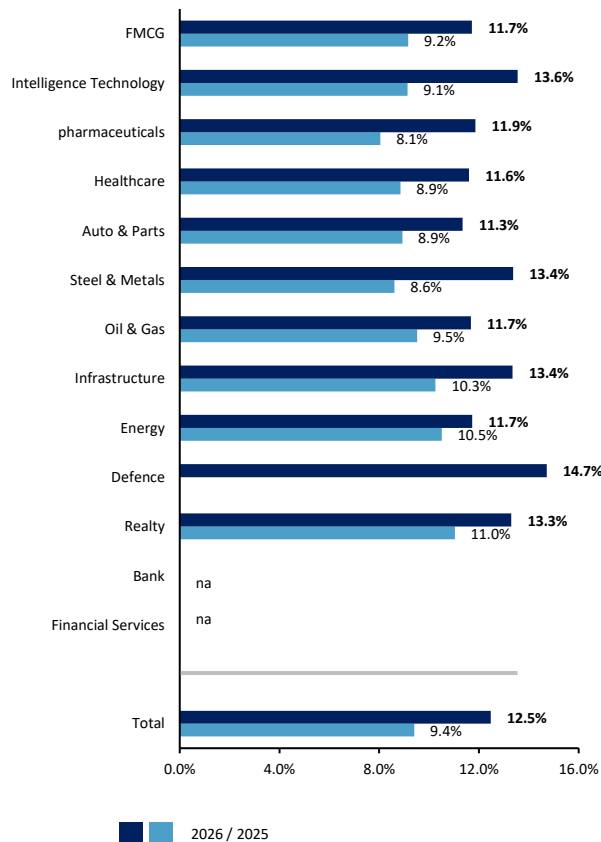
The Weighted Average Cost of Capital blends the cost of equity and post-tax cost of debt in proportion to each component's share of total capital.

The average WACC across the study stands at 12.5%, ranging from 11.3% in Auto & Parts to 14.7% in Defence. Unlike the 2025 edition which reported a simple average, the 2026 total is computed as a market capitalisation weighted average, providing a more representative picture of capital deployment.

The 2026 estimates reflecting a marked increase from 2025's average of 9.4%, driven primarily by the refinements in cost of equity estimation explained here [Preface](#) and [Cost of Equity](#).

Banks and Financial Services are excluded from this analysis as the WACC framework is not applicable to financial institutions in the conventional sense as leverage is structural to their business model, distorting the D/E-based capital structure weighting. Their beta and cost of equity is estimated separately and covered here [Banks](#).

Figure 14:
Weighted Average Cost of Capital by Industry
(In Percentage)



Steel & Metals

The largest increase in WACC from 8.6% to 13.4% a +4.8% increase, driven by a compounding of high financial leverage with D/E at 22.5% amplifying an already elevated unlevered beta of 1.14, alongside 27.4% international revenues pushing the effective CRP to 2.2%, well above India's standalone 1.78%. The sector is uniquely exposed to both drivers simultaneously.



Information Technology

Despite the lowest D/E in the study at just 2.1%, IT sees an increase from 9.1% to 13.6% a change of +4.5%, almost entirely methodology-driven. With 93.8% of revenues outside India, its effective CRP of 3.3% is the highest across all sectors, nearly double India's standalone 1.78%. The 2025 study assigned IT the same flat India CRP as a domestic banks, this corrects that misrepresentation.



Defence

Defence is a newly introduced as a standalone sector in this study.

BANKS AND FINANCIAL SERVICES

Banks and Financial Services

Data as of April 2026

Banks and Financial Services are excluded from the conventional WACC and Beta framework as their structural leverage, D/E of 444.3% for Banks and 109.1% for Financial Services is intrinsic to their business model rather than a financing decision. Applying the Hamada adjustment at these leverage levels would produce economically meaningless beta estimates, as the leverage embedded in the regression beta reflects operational structure, not capital structure choice.

The cost of equity is therefore estimated using the regression beta directly, without any unlever/relevering adjustment with [Country Risk Premium](#) discussed above.

Regression betas of 1.37 for Banks and 1.34 for Financial Services already incorporate the systematic risk amplified by structural leverage, so are applied as-is. The resulting cost of equity of 14.1% for Banks and 14.8% for Financial Services reflects the high-risk profile of leveraged financial intermediaries operating in India's domestic market consistent with, and slightly above, the broader average of 13.4%.

Figure 15:
Weighted Average Cost of Equity
(In Percentage)

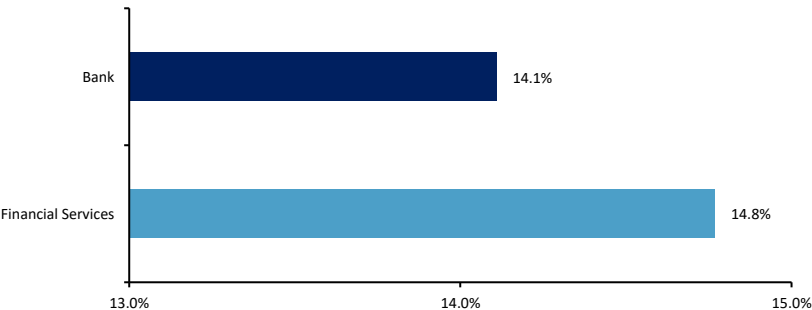


Figure 16:
Average Regression Beta

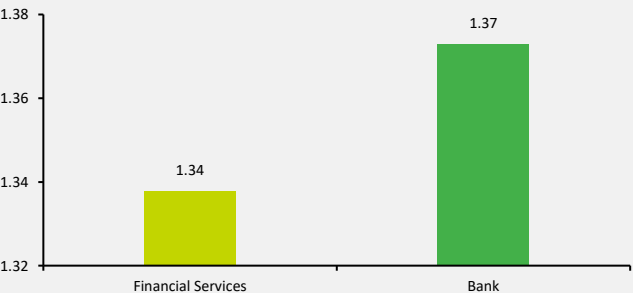
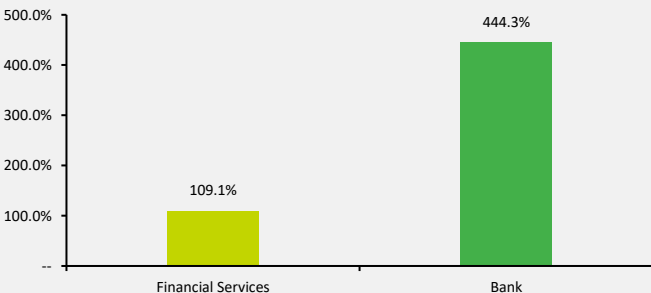


Figure 17:
Weighted Average Debt-to-Equity Ratio
(In Percentage)



PERPETUAL GROWTH

Perpetual Growth Rate

Data as of April 2026

The perpetual growth rate is estimated as,

$$g = \text{Reinvestment Rate} \times \text{WACC},$$

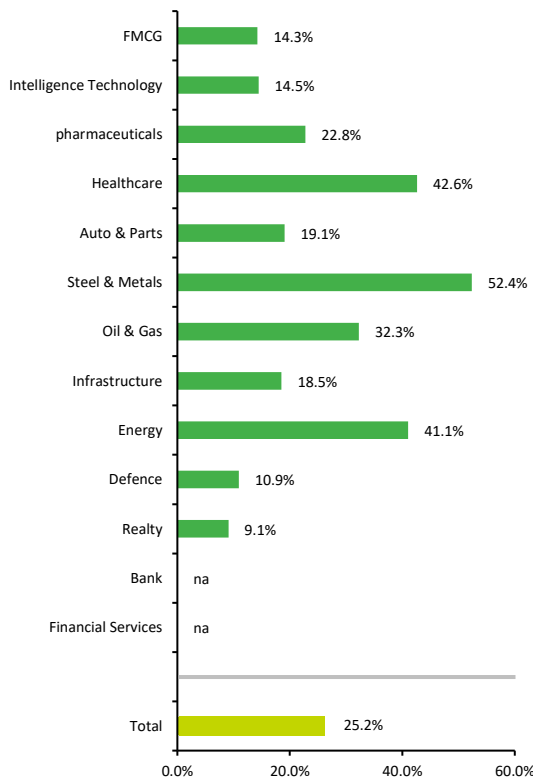
Here WACC serves as the return on capital invested in perpetuity. This involves a maintenance reinvestment assumption in the terminal period, companies are assumed to earn returns exactly equal to their cost of capital with no excess returns, making growth purely a function of capital required to sustain existing operations.

For every company in this study, the lower of previous year's reinvestment rate or depreciation as a percentage of NOPAT (maintenance reinvestment rate) was applied. Where the prior year's reinvestment rate was negative, the maintenance reinvestment rate was used directly. Which anchors the terminal assumption to the minimum capital required to maintain the existing asset base rather than embedding any residual growth momentum from recent financials. The resulting perpetual growth rate was capped at 6.17%, the risk-free rate. As a growth rate exceeding the risk-free rate in perpetuity is theoretically inconsistent with a stable terminal state.

Perpetual growth range from 1.2% in Realty to 6.2% in Steel & Metals, with a weighted average of 2.3%. Capital-intensive sectors such as Steel & Metals, Healthcare, and Energy with reinvestment rate of 52.4%, 42.6%, and 41.1% respectively carry higher maintenance reinvestment requirements and consequently higher implied perpetual growth, not because of superior prospects but because sustaining their asset bases demands proportionally more capital.

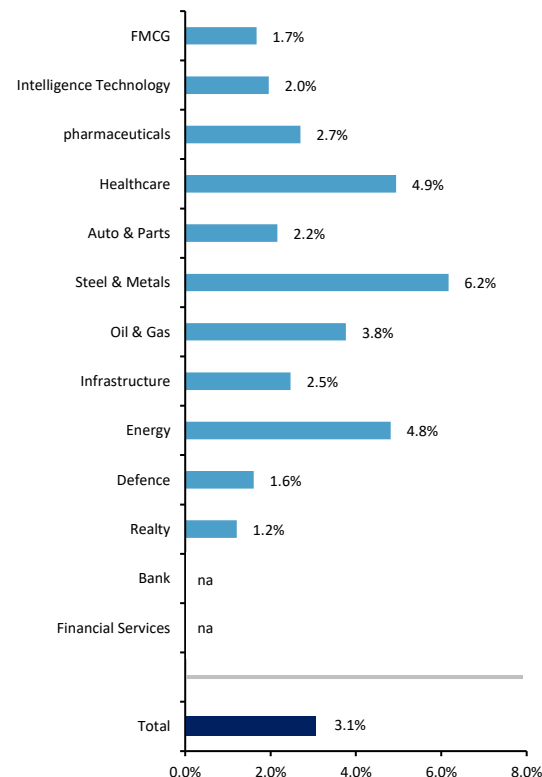
Asset-light sectors such as Realty, and FMCG require minimal maintenance reinvestment, yielding the lowest perpetual growth rates in the study.

Figure 18:
Maintenance Reinvestment Rate
(In Percentage)



Source: Screener.in

Figure 19:
Weighted Average Perpetual Growth by Industry
(In Percentage)



LIMITATIONS

Limitations In The Study

1. World CRP Applied to All Non-India Revenues

The company-specific CRP is estimated by weighting India's CRP of 1.78% and the world CRP of 3.55% by each company's domestic and international revenue share respectively. While this improves on a flat India CRP, it introduces a structural overstatement for sectors exporting into safer countries, most notably IT, which derives 93.8% of revenues predominantly from the United States, a market with a CRP assumed to be near to 0% in corporate finance. Applying the world CRP of 3.55% to these revenues materially overstates the country risk burden for such companies. A country-level revenue breakdown for each company would resolve this, but given the sample size of 130 companies and the unavailability of granular geographic revenue data at the required level of detail, this remains a practical constraint of the study.

2. Uniform Marginal Tax Rate

A fixed marginal corporate tax rate of 25.17% is applied uniformly across all companies in the study, used in both the Hamada unlevering and relevering equations and the post-tax cost of debt calculation. In practice, effective tax rates vary meaningfully across companies due to deferred tax positions, sector-specific incentives, and loss carryforwards. This uniform assumption introduces imprecision in the beta adjustment and Kd estimation, particularly for companies with materially different effective tax rates. Collecting and applying company-specific tax rates across 130 companies again was not feasible within the scope of this study.

3. Rating-Based Corporate Bond Spreads

The credit spreads applied to estimate the pre-tax cost of debt are sourced from Prof. Damodaran's rating-based default spread schedule rather than derived independently. While this is a widely used and reliable reference, it represents the only input in this study not estimated directly from primary data. The spreads may be successful in reflecting US market-implied default premiums by credit rating but may not fully capture India-specific credit market conditions or liquidity premiums embedded in Indian corporate bond markets.

4. G-Sec Yield Volatility vs. Return Volatility in CRP Estimation

Damodaran's relative volatility model requires the standard deviation of returns from a government bond index as the bond volatility input. In this study, the standard deviation of 10-year G-Sec yields (7.84%) is used as a proxy for bond volatility rather than the standard deviation of bond returns. Yield volatility and return volatility behave fundamentally differently — yield volatility is dampened and fails to capture the price sensitivity embedded in bond returns, particularly duration effects. This likely understates the bond volatility input, mechanically inflating the relative volatility multiplier and consequently overstating India's CRP of 1.78%. A return-based bond volatility measure would be the theoretically correct input, but reliable historical return data for a 10-year G-Sec index was not available for the study period.

5. Median Sector Beta Applied Uniformly Within Industries

The Hamada unlevering and relevering framework is applied correctly at the company level, but the unlevered beta input — the industry median — is uniform across all companies within a sector. This ignores material within-sector business diversification. A company such as Reliance Industries, which operates across upstream Oil & Gas, retail, telecommunications, and digital infrastructure, has a fundamentally different business risk profile than a pure upstream producer such as ONGC, yet both are assigned the same median unlevered beta. The median sector beta is a reasonable approximation at the portfolio level but introduces meaningful imprecision at the individual company level, particularly for highly diversified conglomerates where no single-sector beta is representative.

Contact

Jay Prakash

Student

jayprak4sh@gmail.com



[Portfolio Website Link](#)

The financial calculations in this study may not result to be precise due to rounding.

This information is for educational purposes only and is not intended as investment advice or a professional recommendation.